

Sodi: “Earlier, there was mistrust in the marketplace—some Tier II, Tier III developers would take money and not finish their projects. That gap was identified by a number of corporate players. Their entry into this sector got back the confidence of buyers.”

Already, Raymond has activated two more projects. The Address by GS has 549 apartments and is more expensive than Ten X Habitat. Both these projects have seen more than 80 per cent apartments booked. A third project, TenX ERA, with 905 units, was launched this February—25 per cent apartments are already booked. All this reflects in the company’s performance. The real estate business’s sales increased 401 per cent in FY22, and another 58 per

als, and some have been shortlisted. But in terms of active discussions, we would always have five to seven proposals that are in line with our strategy.... Difficult to predict, but our endeavour is to do two to four deals a year,” says Sahni. If done well, this strategy has the potential to make real estate much bigger in Raymond’s portfolio. In the past three to four years, it has become the third biggest business for Raymond. And since it is still taking baby steps, this is likely to grow further, subject to market conditions. No wonder Singhania is so bullish.

Meanwhile, its traditional business of everything to do with clothing is also chugging along just fine. So are the denim and engineering & auto components businesses.

20.6 per cent, 49 per cent, 51.7 per cent and 33.2 per cent, respectively, with Ebitda margins between 8 per cent and 20 per cent.

This growth has come on the back of an explosion of pent-up demand after the pandemic. In FY23, a net 58 units of The Raymond Store (TRS) outlets were opened, taking the total count to 1,409 stores (including franchisee-owned TRS shops and exclusive brand outlets) as on March 31. Over the next 12-18 months, the company plans to expand this network by another 200 stores. Yet, there is scope for further expansion. “We are available in a lot of small towns. But there are hundreds of towns that we are probably not available in because our distribution network doesn’t go that far.

AFTER BEING PUMMELED BY THE PANDEMIC, SINGHANIA ENGINEERED RAYMOND’S RECOVERY, TAKING THE SCIMITAR TO COSTS, EXCESS INVENTORY AND NON-PERFORMING STORES

cent in FY23 to touch ₹1,115 crore. Ebitda margin for FY23 is at 25.7 per cent, which, according to Sodi, is more or less on par with that of the larger Thane market.

Beyond the land bank, Raymond plans to get into joint development with others in the MMR (Mumbai Metropolitan Region). “We are not investing any money on the land. We will only do such projects when we are confident that all the approvals are happening,” says CFO Agarwal. The company has signed up one joint development project in Bandra with a local partner, which is the redevelopment of a society on the Western Express Highway. “As of now, we have about 270-280 propos-

THE CORE KEEPS RUMBLING

Sunil Kataria, 55, the CEO of Raymond’s core lifestyle business, looks every bit his role. Having been in GCPL during the pandemic (as CEO of India and SAARC), the suave and eloquent Kataria joined Raymond in March 2022 and took charge of the growth journey. And it has been an impressive ride. All the businesses related to clothing clocked high growth in FY23—sales of branded textile, branded apparel, garmenting (which is an export-oriented B2B business where Raymond supplies ready-made garments to international brands) and high-value cotton shirting grew at

Those are opportunities for us to expand,” says Atul Singh, Group Vice Chairman of Raymond Group. Singh, 62, is a Coca-Cola veteran who has worked around the world and brings understanding of global markets to Raymond (it already exports a chunk of its clothing products overseas to large global brands).

What are the growth drivers of the future? One, Kataria believes that a China-plus-one strategy by global brands will benefit India compared to competing economies like Vietnam and Bangladesh because either their capacities are choked or they face a volatile economy. “And within India, we (Raymond) are very well placed. When all these